	Question	Answer
1	For normal goods, Engel curve always have………….Slope	Positive / upward
2	which of the following will be the shape of Engle curve for inferior goods	Downward sloping
3	market equilberm is a market state where	the supply in the market is equal to the demand in the market
4	in a production process, all inputs are increased by 10% but the output increases less than 10%. This means the firm experience	decreasing returns to scale
5	individual demand curve can be drawn from	Price consumption
6	Which of the following costs always declines as output increases	average fixed cost
7	fixed costs are fixed with respect to changes in	Output
8	The average total cost to produce 100 cookies is $0.25 per cookie. The marginal cost is constant at $0.10 for all cookies produced. For 100 cookies, the average total cost is	Falling
9	the marginal rate of technical substitution is equal to the	Change in output **divided by** change in labor input
10	In a short-run production process, the marginal cost is rising and the average variable cost is falling as output is increased. Thus	marginal cost is below average variable cost
11	Which of the following costs are always increasing as output increases?	total cost and variable cost
12	A firm employs 100 workers at a wage rate of $10 per hour, and 50 units of capital at a rate of $21 per hour. The marginal product of labor is 3, and the marginal product of capital is 5. The firm	Could reduce the cost of producing its current output level by employing more labor and less capital.
13	when the average rate is increasing, marginal product will	Exceed average product
14	as the price of good X increase from Rs 50 to Rs 100. Quality demanded falls from 100 units to 80 units. based upon the information we can conclude that the demand for X is	Elastic
15	A 10% increase in the price of movie ticket in West ridge 8 leads to a 15% decrease in the number of tickets sold, indicating the demand for movie ticket in West ridge 8 is:	Elastic
16	The price elasticity of demand is	the ratio of the percentage change in quantity demanded to the percentage change in price
17	If demand is price elastic, then	a fall in price will raise total revenue
18	Complementary goods have	negative cross price elasticities of demand with respect to each other
19	The price elasticity of demand generally tends to be	smaller in the short run than in the long run

20	If the cross-price elasticity between two commodities is 1.5	the two goods are substitutes
21	the ratio of wage rate to rental cost of capital is called	Slope of the Isocost
22	Suppose demand curve for good A has shifted to the result of increase in price of good B. From this we can infer that	A and B are substitutes
23	when the cost of raw material increase then it will lead to shift in	Supply curve towards left or upward
24	a percentage change in quantity supplied divided by a percentage change in price is called	The **price** elasticity of **supply**
25	Marginal product crosses the horizontal axis (is equal to zero) at the point where	total **product** is maximized
26	when the two goods are perfect substitutes to each other than the marginal rate of substation for them will be	Constant
27	marginal rate of substitution represents the slope of	indifference curve
28	when the cost of labor increase then curve will lead to shift	Supply curve towards right
29	which of the following explains the relationship between quantity demanded of a good and consumer income	Demand Curve
30	which of the following is included in economic depreciation to make it equal to the user cost of capital	User Cost of Capital = Economic Depreciation + **(Interest Rate)(Value of Capital)**
31	since car and petrol are complements the cross price elasticity of demand for car and petrol will be	if the cross price elasticity are **negative** the goods are **complements.** if the cross price elasticity is **positive** the goods are **substitutes.**
32	POINT ELASTICITY OF DEMAND	(P/Q)(1/Slope)
33	Indifference Curve	1. Higher indifference curve represents higher level of satisfaction. 2. indifference curve always are convex to origin. 3. indifference curve intersect each other.
34	if the isoquants are straight lines. Than	the marginal rate of technical substitution of inputs is constant
35	in the long run, which of the following is considered a variable cost	All
36	The rate at which one input can be reduced per additional unit of the other input, while holding output constant is measured by the	marginal rate of technical substitution
37	in the long run, if a firm is facing higher marginal cost than the average cost; then certainly per unit cost will	Rise

38	If X is a normal good, a rise in money income will shift the	Supply **curve** for **X** to the left.
39	if price are held constant, an increase in income will shift budget line	rightward 0r Outward shift in the **budget line**
40	income elasticity of demand for an inferior good is always	Negative (as consumers' income rises, they buy fewer inferior goods.)
41	when the cost of labor increase then it will lead to shift in	the supply curve for labor will shift to the left
42	If the percentage change in quantity demanded for milk is less than the percentage change in price of milk then the price elasticity of demand for milk is inelastic	Inelastic
43	when the actual market price is lower than the equilibrium market price in goods market	**Shortage** (If the market price is below the equilibrium price, quantity supplied is, less than quantity demanded, creating a shortage. The market is not clear. It is in shortage. Market price will rise because of this shortage
44	cross price elasticy of demand for the complements will always be	The **cross elasticity of demand** for substitute goods **is always** positive because the **demand** for one good increases when the **price** for the substitute good increases. Alternatively, the **cross elasticity of demand** for complementary goods **is** negative
45	**Average fixed cost**	Average Total Cost = AFixedC + AVeriableC 250 = AFixedC + 100 250 – 100 = AFixedC 150
46	incremental cost is the same concept as **marginal** cost	Marginal
47	cost-output elasticity can be calculated as	It is **calculated** by dividing the percentage change in **cost** with percentage change in **output** **AC/MC**
48	Consumer can maximize their satisfaction at the point where the marginal rate of substitution is	Is equal to the **price** ratio of the two goods.
49	**When two goods are perfect substitutes**, the **marginal rate of substitution**	is constant along the indifference curve
50	the slope of total product curve is called	marginal product
51	What is the shape of total product curve?	S Shaped
52	when the income of the consumer decrease then curve will shift	Demand Curve to right
53	the expenditure that has been made and cannot be recovered is called	Sunk Cost

54	which cost always decline as output increase	Average fixed cost
55	When the average product is decreasing. marginal product will	**Be less than average product.** If marginal product is less than average product, then average product declines. If marginal product is greater than average product, then average product rises. If marginal product is equal to average product, then average product does not change.
56	the additional satisfaction a consumer gains from consuming one more unit of a good is called as	Marginal utility is **the added satisfaction a consumer** gets from having **one more unit of a good** or service. The concept of marginal utility is used by economists to determine how much of an item **consumers** are willing to purchase.
57	what will be the effect on consumer expenditure for the purchase of price elastic good	Decrease when price increase price elastic good always move in opposite direction
58	the demand curve is downward sloping if the price elasticity demand is	**Negative** With a downward-sloping demand curve, price and quantity demanded move in opposite directions, so the price elasticity of demand is always negative.
59	**Assumptions of Indifference Curve**	The consumer acts rationally so as to maximize satisfaction There are two goods X and Y The consumer possesses complete information about the prices of the goods in the market. Consumer prefers less of that good rather than more.
60	if the percentage change in quantity demanded for bread is more than the percentage change in price of the bread then price elasticity of demand for bread is	Elastic The **price** elasticity **of** supply is given by a similar formula: If the **percentage change in quantity demanded is greater than the percentage change in price**, **demand** is said to be **price** elastic, or very responsive to **price changes**.
61	the increase in total due to additional worker is called	**Marginal product** Marginal product is the additional output that is generated by an additional worker. With a second worker, production increases by 5 and with the third worker, it increases by 6. When these workers are added, the marginal product increases